The Australian Financial Review (Lea Jurkovic), 11 Nov
Thursday 12 November 2026

A weaker Australian dollar complicates the RBA's inflation fight

> The Australian dollar fell to a seven-month low after hotter-than-expected US inflation data, making imports dearer just as the Reserve Bank is trying to bring inflation down.

WHAT HAPPENED

- A Fed official (Christopher Waller) suggested a **0.5-point US rate rise** could be considered; hours later, US inflation data came in **hotter than expected**.
- The US 2-year bond yield jumped **18 basis points** and the 10-year rose towards **5%**; the US dollar surged.
- The AUD fell as low as **68.42 US cents** in New York, then traded around 68.78 cents on Wednesday.
- RBA modelling suggests exchange-rate moves account for up to **two-thirds** of the effect of rate changes on inflation. A weaker dollar weakens that channel.
- Markets price about a **1-in-4 chance** of a sixth RBA hike by early 2027, which would take the cash rate above 5%. CBA expects 68¢ by year-end and **66¢ by March**.

68.42 US¢
Seven-month low, overnight

2/3
Share of the rate impact on inflation via the AUD

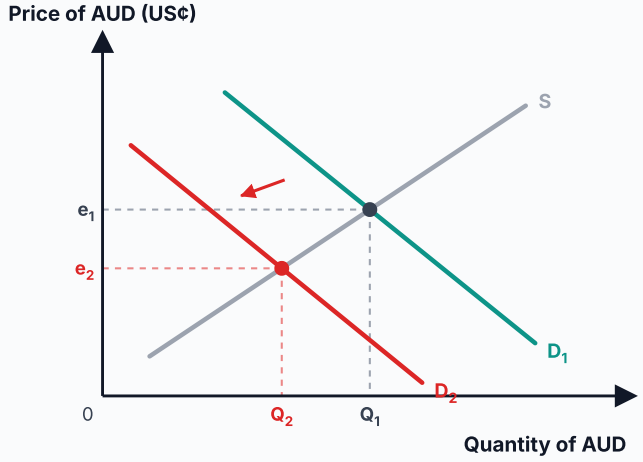
1 in 4
Market odds of a sixth RBA hike

66 US¢
CBA forecast for March 2027

Depreciation: a fall in the value of a currency against another under a floating exchange rate.
Imported inflation: rising domestic prices caused by dearer imports, e.g. after a depreciation.

DIAGRAM

Why higher US rates push the Australian dollar down



Higher expected US interest rates make US assets more attractive. Investors need fewer AUD to buy Australian assets, so demand for AUD falls from **D_1 to D_2**.

The exchange rate falls from **e_1 to e_2** (in US cents). Imports cost more in AUD, adding to inflation.

Exam angle: An exam answer should show both sides of a **depreciation**: it helps export competitiveness and the trade balance, but adds to **imported inflation**. That cost matters most when inflation is already above the 2–3% target.

FLOW CHART

From Washington to Martin Place

Fed signals higher rates → US yields jump; capital flows to USD → AUD depreciates to a 7-month low → **Imported inflation – pressure on RBA to hike**

SYLLABUS LINK
Topic 2 – Exchange rate determination and the effects of AUD fluctuations; Topic 4 – monetary policy and the exchange-rate channel of transmission.

TRY THIS
Explain how a depreciation of the Australian dollar could affect inflation and the RBA's monetary policy decisions.
(4 MARKS)

Sources — The Australian Financial Review, 'A weak $A starting to threaten RBA's inflation fight', Lea Jurkovic, 11 Nov 2026: afr.com (subscriber article)

Figures as reported; diagrams are illustrative, not to scale.